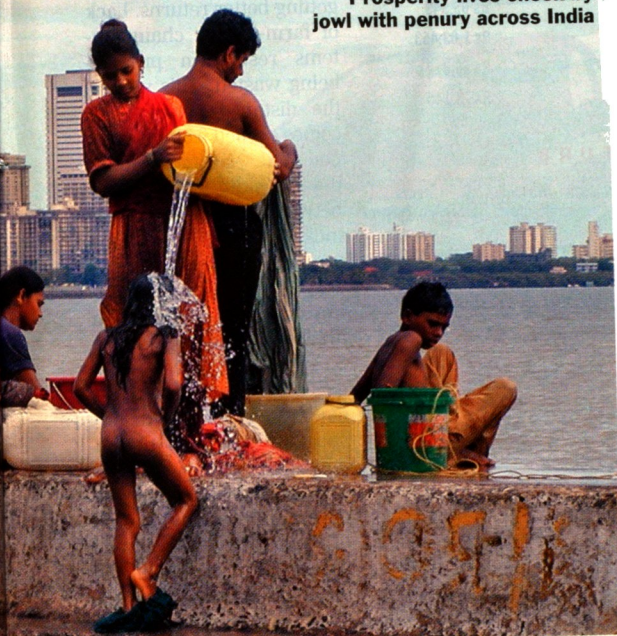


LITY

THE GREAT CONTRAST:
Prosperity lives cheek by
jowl with penury across India



THE CAUSE OF INEQUALITY IS NOT GROWTH AS IT HAS DRIVEN DOWN THE POVERTY RATIO. THE CAUSE IS LACK OF GOVERNANCE AND ASYMMETRY OF OPPORTUNITY.

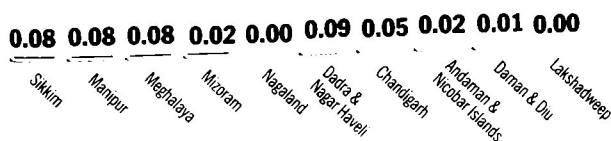
of the income. Indeed, the top 20 per cent earns more than all the others put together. Interestingly, the rate of income growth for the middle class among salary and wage earners (see *Middle Class Squeeze*) is the lowest.

In a sense the inequality story or the phenomenon of lack of inclusive growth in India is similar to that witnessed through the last century across the US and Europe. (That said despite high-growth income, inequality is lower than in China as the recent Asian Development Bank study has shown.) In his hypothesis, Simon Kuznet, the pioneer of research on inequality, says economic inequality increases over time till the economy attains a critical income before it begins to fall. This is because in the first stage of economic

8.38% is the drop in poverty levels across India between 1993-94 and 2004-05

All data on income and expenditure sourced from NSSO

Figures in million for 2004-05



CASTE BEHIND

Those from Scheduled Castes/Scheduled Tribes are doing worse than other castes

INCOME

SOCIAL GROUP	50th Employment Round (1993-94)	61st Employment Round (2004-05)
ST	Rs 15,984	Rs 43,867
SC	Rs 17,289	Rs 49,979
OTHERS	Rs 29,624	Rs 87,997
NATIONAL	Rs 24,980	Rs 73,145

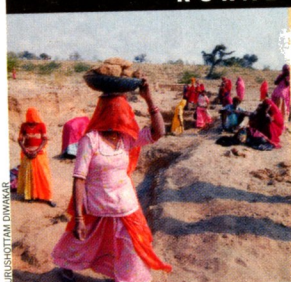
Figures denote average annual income

EXPENDITURE

SOCIAL GROUP	50th Employment Round (1993-94)	61st Employment Round (2004-05)	Growth Annualised
ST	Rs 512	Rs 1,087	7.09
SC	Rs 539	Rs 1,249	7.94
OTHERS	Rs 741	Rs 1,765	8.21
NATIONAL	Rs 682	Rs 1,605	8.10

Figures denote monthly per capita expenditure

RURAL INDIA



Rs 1,94,044

was the average income of the
top 10 per cent in 2004-05
against Rs 61,655 in 1993-94.

Rs 8,907

was the average income of the
bottom 10 per cent in 2004-05
against Rs 2,807 in 1993-94.

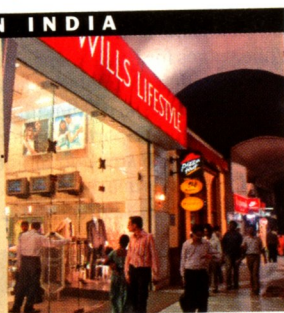
URBAN INDIA

Rs 4,97,583

was the average income of the
top 10 per cent in 2004-05 as
against Rs 1,37,256 in 1993-94.

Rs 16,292

was the average income of the
bottom 10 per cent in 2004-05
against Rs 4,747 in 1993-94.



INDIA AND BHARAT

Low income levels in rural areas reflect the agrarian crisis

INCOME

SECTORS	50th Employment Round (1993-94)	61st Employment Round (2004-05)	Growth Annualised
RURAL	Rs 17,172	Rs 47,767	9.7%
URBAN	Rs 44,802	Rs 134,113	10.5%
NATIONAL	Rs 24,981	Rs 73,145	10.3%

Figures denote average annual income